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| <b>Introduction</b>                                                                  | <ul style="list-style-type: none"><li>• Inflation and the types of inflation</li><li>• The role of the Bank of England</li><li>• Explanation of the target rate of inflation.</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
| <b>Developing the response to the question:</b><br><br><b>Application / Analysis</b> | <ul style="list-style-type: none"><li>• Why the UK has inflation targets</li><li>• The importance of the other macroeconomic goals</li><li>• How the independent Bank of England has control of the tools to control inflation</li><li>• The importance of low inflation greasing the wheels of the economy.</li><li>• Limitations to the use of policy tools</li><li>• The importance of inflationary expectations</li><li>• The effects of deflation</li><li>• Trade-offs in macroeconomic goals</li><li>• How inflation can affect growth</li><li>• How inflation can affect the Balance of payments</li><li>• How inflation can affect unemployment or vice versa</li><li>• How focusing on other goals may impact on inflation</li><li>• How the prioritisation may change</li><li>• How other policies affect inflation</li><li>• The role of supply side policy in controlling inflation</li><li>• Short-run vs long-run considerations.</li></ul>                                                                                   |
| <b>Evaluation</b>                                                                    | <ul style="list-style-type: none"><li>• Whether control of inflation depends on where the economy is operating in the trade cycle</li><li>• Whether the UK has the ability to control cost push inflation to the same extent as demand pull</li><li>• How 'independent' is the Bank of England in setting policy</li><li>• Historical perspectives compared to current economic policies.</li><li>• The prospects of inflation as opposed to deflation</li><li>• The effects on the UK when the UK went outside of the target in the past</li><li>• The relative importance of inflation compared to other goals</li><li>• Is there an inevitable trade off with unemployment?</li><li>• Short-run vs long-run considerations.</li></ul> <p><i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i></p> |

**Also give credit for**

- Reference to the UK/other economies
- Diagrams
- An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

**2.**

- price indices
- UK inflation or deflation.

**For explaining aspects of measurement of changes in the price level:**

- Use of indices to calculate % rates of changes in prices
- The concept of a 'basket' of goods and the 650 'representative' items.
- Family Expenditure Survey
- The concept of the average family
- The system of weighting. Weights reflect the fact that some items are more important than others in terms of their share of household spending. Price increases for certain items have a larger impact on the overall change in the construction of the 'basket' of goods. Weights are updated each year to reflect changes in household spending and to reflect the introduction of new items or removal of old ones.
- A numerical example Comparisons between different types of UK Price indices.
- Any other valid feature of measurement using indices, eg large representative sample of prices collected each month; price relatives to calculate an individual item in the index.
- Use of diagrams to help support explanations, although diagrams are unlikely to feature in this part of the answer.
- References to UK and other economies

[15]

**3.****Issues and areas for discussion include:**

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| <b>Introduction</b>                                                       | <ul style="list-style-type: none"><li>• UK fiscal policy and budgetary positions</li><li>• general tax principles, eg fairness, ability to pay, incentives</li><li>• examples of UK taxes and tax rates</li><li>• the distinction between direct and indirect taxation</li><li>• different categories of spending, eg capital v current</li><li>• the nature of UK Government spending cuts.</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| <b>Developing the response to the question (application and analysis)</b> | <ul style="list-style-type: none"><li>• direct taxation and the issue of incentives (income and substitution effects)</li><li>• corporate taxes v taxation of household income</li><li>• Laffer Curve analysis (not mentioned in the specification)</li><li>• indirect taxes and the issue of their regressive nature</li><li>• equity and equality</li><li>• supply and demand analysis to show the possible incidence of taxation</li><li>• the possible effects of increasing tax rates on total tax revenue per tax</li><li>• public spending and multiplier/reverse-multiplier</li><li>• government spending cuts and the impact on private sector business</li><li>• cuts to capital spending and macroeconomic implications</li><li>• cuts to current spending and transfer spending</li><li>• use of diagrams</li><li>• references to the real world.</li></ul> |



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| <b>Evaluation</b> | <ul style="list-style-type: none"><li>• the need for a balanced approach to the use of tax and spending policies</li><li>• relative distributional effects</li><li>• relative impact on economic recovery</li><li>• assessment of the use of a particular tax; any increase in its tax rate(s) may be influenced by the degree of change in the rate(s) being imposed</li><li>• judgments made on the actual effect on living standards by individual taxes or particular aspects of government spending, whatever the ultimate aim is of a budget surplus</li><li>• the national and international macroeconomic climate in which changes are being made</li><li>• how tax/government spending changes relate to the supply-side ethos of recent governments</li><li>• surveys which point to a limited or zero impact on incentives to work resulting from changes in income tax</li><li>• welfare-spending cuts and the unemployment trap</li><li>• tax changes and the poverty trap</li><li>• the need for coordination of spending and tax policies, eg needing to avoid conflict between welfare benefits and harshly regressive indirect taxes, or assessing if one compensates for the other</li><li>• the impact of individual taxes on macroeconomic indicators, eg indirect taxes on the rate of inflation</li><li>• the assessment of both might be affected by the speed with which spending cuts/tax increases are implemented</li><li>• a final judgment regarding the best policy for the macroeconomy, individuals, for living standards in general, for the achievement of other macroeconomic objectives.</li></ul> <p><i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i></p> |
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| <b>Introduction</b>                                                       | <ul style="list-style-type: none"><li>• Economic growth</li><li>• The standard of living</li><li>• The recent global experience.</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
| <b>Developing the response to the question (application and analysis)</b> | <ul style="list-style-type: none"><li>• How world economic growth is likely to be achieved</li><li>• The importance of ensuring that growth is sustainable</li><li>• Recognition that the impact could be positive or negative in net terms</li></ul> <p><b>The UK economy:</b></p> <ul style="list-style-type: none"><li>• Aggregate demand</li><li>• Changes to the incentive to invest and the possible impact on such things as productive capacity</li><li>• Aggregate supply</li><li>• Inflation</li><li>• The environment</li><li>• The ability to sell overseas and hence the impact on exports</li><li>• Imports</li><li>• The balance of payments on current account</li><li>• The prospects for inward/outward FDI</li><li>• World growth causing changes to wealth creation in the UK</li><li>• Employment/unemployment</li><li>• The impact of world commodity prices.</li></ul> <p><b>The individual in the UK:</b></p> <ul style="list-style-type: none"><li>• Trend in average income (income per head)</li><li>• Distribution of income</li><li>• A possible sharpening of the “haves and have-nots” distinction</li><li>• Consumption patterns</li><li>• The wealth effect associated with rising asset prices in a period of growth</li><li>• Choice of jobs</li><li>• Quality of life</li><li>• Quality of life measures such as the HDI and the “happiness index”.</li></ul> |



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| <b>Evaluation</b>            | <ul style="list-style-type: none"><li>• The extent of world economic growth</li><li>• World economic growth from what starting point, eg years of stagnation?</li><li>• The importance of considering where in the world growth is taking place and the bearing this may have on the UK economy</li><li>• The UK's capability to participate in the growth process and in its rewards</li><li>• The possibility of the UK economy importing the downside of world growth, eg inflation and a deteriorating environment, without enjoying the benefits, eg more jobs and more spending power</li><li>• It is easier to measure the economic impact on the individual, ie income per head, than it is to measure changes to the quality of life</li><li>• What of the individual who has the wrong skills or qualifications to allow occupational mobility or cannot become geographically mobile?</li><li>• Short term v long term impact for both the individual and the economy</li><li>• Does the UK economy enjoy higher demand without giving due attention to its supply-side?</li><li>• Is sufficient attention given to the environment both from the individual's point of view and that of the UK economy?</li><li>• Whether growth elsewhere is likely to cause net economic benefit or net economic damage to the UK.</li></ul> <p><i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i></p> |
| <b>Also give credit for:</b> | <ul style="list-style-type: none"><li>• Reference to the UK/other economies</li><li>• Diagrams</li><li>• An overall judgement on the issues raised.</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |

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**5.****Relevant issues/logical chains of analysis include:**

- defining economic shock, eg what maybe an unexpected event or one that at least some had predicted which affects an economy either positively or negatively (it is anticipated that the majority of candidates will see shock in negative terms because of the reference to 'harm' and this should not be penalised. Please make sure that credit is not given where the preamble to the question is simply copied out, ie an economic shock is something which can have significant consequences)
- distinguishing a demand-side shock from a supply-side shock, perhaps with examples, such as the euro crisis, the 'credit crunch'; oil price increase or a natural disaster.
- defining economic growth, eg an increase in real GDP or an increase in productive capacity.
- distinguishing between actual and potential growth
- Supply: A significant increase in global oil prices will impact on an economy having to import most or all of its oil from the international market, causing the SRAS curve to shift to the left. Higher oil prices will lead to higher unit costs and hence higher prices and hence cost-push inflation. The impact of inflation on real incomes will affect AD (1mark). Demands from labour for higher wages will worsen the inflation problem. Inflation will cause an increase in unemployment and eventually cause economic growth to falter so that stagflation becomes a real possibility.
- Supply: A significant increase in prices of primary commodities generally and/or food prices.
- Supply: A major war/significant natural disaster/a series of devastating terrorist attacks around the world in major economies.
- Demand: The severity of the Eurozone crisis
- Demand: An unanticipated and sudden downturn in emerging economies such as India and China.
- Demand: credit crunch/crisis in major financial markets
- any other economic shock explained which potentially harms growth
- diagrams to help support explanations, eg AD/AS showing shifts of AD and/or AS, micro supply and demand diagrams, PPF

**[15]****6.****Explanation:**

Definition: As there is no single definition for this, any suitable definitions can be credited: eg The ability of an economy to sell goods and services in or to other countries and linking to the theory comparative advantage or in terms of lower costs of production or price/non price competitiveness



**Analysis:**

**For Example:** A fall in corporation tax may reduce a firms costs therefore the firms expected profits may rise and improve confidence which may be a catalyst for investment which may increase spending on both human capital and physical capital which may lead to productivity advancements allowing firms to sell goods for cheaper on international markets.

Use of appropriate diagrams, eg AD/AS

Reference to the UK or other economies.

[9]



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|---------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Introduction</b>                                                       | <ul style="list-style-type: none"> <li>• The budget and budget deficit</li> <li>• The recent UK experience</li> <li>• Short term long-term</li> <li>• The notion of improvement in economic prospects.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
| <b>Developing the response to the question (application and analysis)</b> | <ul style="list-style-type: none"> <li>• Short-term gain versus long-term gain</li> <li>• International credit-agency ratings for the UK and their possible significance</li> <li>• Interest rates and quantitative easing – short term benefit, long-term inflation?</li> <li>• The importance of stabilising the economy</li> <li>• Recession in the short term but the possible long-term weakening of the economy</li> <li>• The contrast with the 'Keynesian solution'</li> <li>• Economic growth</li> <li>• Inflation/deflation</li> <li>• Cost-push inflation at a time of 'austerity' creating problems in the long-term</li> <li>• Competitiveness and the balance of payments on current account</li> <li>• Long-term prospects for employment/unemployment</li> <li>• Cyclical and structural unemployment.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                      |
| <b>Evaluation</b>                                                         | <ul style="list-style-type: none"> <li>• The severity of reductions in the deficit</li> <li>• The period of time over which so-called fiscal austerity lasts</li> <li>• What is reasonable to consider as 'long-term' when referring to 'long-term economic prospects'?</li> <li>• How the budget deficit is achieved</li> <li>• Whether the improvement in long-term prospects fully compensates for short-term problems arising from the reductions in the deficit</li> <li>• Does the alternative 'Keynesian solution' really hold water under scrutiny?</li> <li>• Are international credit ratings really that significant?</li> <li>• Long-term prospects may improve on one measure, eg inflation, but suffer on another measure, eg growth</li> <li>• The possible self-defeating nature of deficit reduction, ie efforts to reduce a deficit can bring about an increase as the economy worsens</li> </ul> <p><i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i></p> |
| <b>Also give credit for:</b>                                              | <ul style="list-style-type: none"> <li>• Reference to the UK/other economies</li> <li>• Diagrams</li> <li>• An overall judgement on the issues raised.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

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| <b>Introduction</b>                                          | <ul style="list-style-type: none"> <li>• Reference to the history of the EU</li> <li>• The history of UK membership of the EU</li> <li>• Changing views about membership over time</li> <li>• The nature of the EU, for example, as a customs union/single market</li> <li>• The possible criteria for making a decision.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| <b>Developing the response to the question (Application)</b> | <ul style="list-style-type: none"> <li>• The estimated total cost to UK of membership <b>Extract E</b>(lines 4 &amp; 5)</li> <li>• UK Budget contributions <b>Extract E</b> (line 6)</li> <li>• The Single European Market <b>Extract E</b> (lines 14 &amp; 15)</li> <li>• Foreign direct investment <b>Extract E</b> lines (15 &amp; 16)</li> <li>• The EEA <b>Extract F</b> (lines 3–5)</li> <li>• The example of Norway as a non-member of the EU <b>Extract F</b></li> <li>• Trade theory</li> <li>• AD</li> <li>• Economic growth</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
| <b>Analysis</b>                                              | <ul style="list-style-type: none"> <li>• The notion of economic benefit</li> <li>• Economic growth</li> <li>• Employment</li> <li>• Balance of Payments</li> <li>• Exchange rate</li> <li>• Prices</li> <li>• CAP</li> <li>• SEM</li> <li>• CET</li> <li>• The euro</li> <li>• The EEA.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
| <b>Evaluation</b>                                            | <ul style="list-style-type: none"> <li>• The uncertainty surrounding the future outside the EU</li> <li>• Whether a comparison with just one other economy (Norway) is helpful</li> <li>• To what extent, if at all, would trade be affected?</li> <li>• Could the UK re-establish former economic links, for example, with the Commonwealth or is this a myth from non-existent halcyon days?</li> <li>• The difficulty of assessing in a truly objective and precise way the various costs and benefits</li> <li>• The possible UK support for membership to foster and maintain economic ties with the EU in contrast to strong opposition to political ties and loss of national sovereignty</li> <li>• The possible changing views about membership as enlargement of the EU continues</li> <li>• Support for membership increasingly tempered by a fear that the UK will become embroiled in the euro crisis financially when the UK is outside the Eurozone</li> <li>• ‘Sitting on the fence’ has limitations; should the UK fully embrace all aspects of the EU and become ‘full Europeans’ including adoption of the euro?</li> <li>• The possibility of the UK joining the EEA or even NAFTA instead.</li> </ul> <p><i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i></p> |

**Also give credit for:**

- Reference to the UK/other economies
- Diagrams
- An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

9.

**Relevant issues/logical chains of analysis include:**

- defining/explaining budget/budget deficit/fiscal policy government spending taxes or taxation
- direct taxes are taxes on household and corporate income and include income tax and corporation tax. Raising direct taxes will reduce household disposable income and reduce the profits of companies. This may affect incentives to work and to take risks and hence adversely affect the economy's supply side however higher direct taxes may allow for lower indirect taxes such as VAT or excise duties
- the impact of indirect taxes on the rate of inflation
- the impact of taxes on wage demands
- the impact of tax rises on household demand for goods and services building on the effects of a tighter fiscal policy to a degree not intended by the government
- the distinction between capital, current and transfer spending which the government can use to limit the impact on different groups in society, eg maintaining spending on the NHS and welfare
- cuts in capital spending, eg infrastructure, can go unnoticed for some time in a way that increases in taxation often cannot
- spending cuts can avoid cutting spending on supply-side improvements such as education and training so continuing to lay stronger foundations for recovery
- the relative distributional effects of tax rises v spending cuts
- diagrams to help support explanations, eg Laffer Curve, the relationship between tax revenue and spending and how it may change over time, AD/AS

[15]

**10.****Relevant issues/logical chains of analysis include:**

- defining exports and/or the multiplier
- explanation of the link between the multiplier and AD/use of an arithmetical example
- explaining export-led multiplier, eg the impact of a growing export sector on other sectors of the economy, for example, as those employed in the export sector spend their incomes on goods and services; those businesses in the export sector demanding machinery and technology from other businesses outside the export sector
- use of relevant diagrams, eg AD/AS
- An improvement in the macroeconomy of the EU to which over half of UK exports are sold. Fiscal policy may loosen in the EU, so that consumers' disposable incomes rise and hence their demand for UK goods and services. Equally, unemployment may fall in the EU allowing average incomes to rise and hence consumer demand for UK exports
- UK productivity increases lowering unit costs
- UK/EU relative inflation rates are favourable to the UK
- Quality of UK goods and services
- The exchange rate of the £ against other currencies
- Changing comparative advantage favouring the UK
- appropriate diagrams, eg AD/AS, comparative advantage

**[9]**

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| <b>Introduction</b>                                          | <ul style="list-style-type: none"> <li>• Definition of inflation</li> <li>• Global experiences of inflation</li> <li>• UK inflation and the scenario of 'worsening inflation'</li> <li>• The balance of payments and its various parts.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
| <b>Developing the response to the question (application)</b> | <ul style="list-style-type: none"> <li>• Low inflation for achieving economic stability and sustained growth <b>Extract B</b> (lines 2–3)</li> <li>• Reference to energy costs and primary commodity prices <b>Extract B</b> (lines 12 &amp; 13)</li> <li>• The brake on hesitant recovery <b>Extract B</b> (lines 21 &amp; 22)</li> <li>• The dangers of loose monetary policy in the UK <b>Extract C</b> (lines 7–11)</li> <li>• The breeding of 'uncertainty' <b>Extract C</b> (line 11)</li> <li>• Disruption to trade and investment flows ( <b>Extract B</b> lines 19 &amp; 20)</li> <li>• Cost-push inflation</li> <li>• Demand-pull inflation</li> <li>• AD/AS analysis</li> <li>• Balance of payments</li> <li>• Competitiveness.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
| <b>Analysis</b>                                              | <ul style="list-style-type: none"> <li>• The notion of 'impact'</li> <li>• Measurement of impact in the context of the balance of payments</li> <li>• World commodity prices increases and the UK import bill</li> <li>• UK competitiveness given the authorities' success or failure in controlling inflation</li> <li>• The impact of imported inflation on future balance of payments' performance</li> <li>• Inflation, the UK exchange rate and the balance of payments</li> <li>• The impact of global inflation on the macroeconomy of other countries and how this will inevitably impact on the UK's balance of payments</li> <li>• Investment flows and the capital account.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
| <b>Evaluation</b>                                            | <ul style="list-style-type: none"> <li>• Is the problem in almost every part of the global economy and what, therefore, is the relevance of this to the UK balance of payments?</li> <li>• Is the problem one experienced by the UK's major trading partners?</li> <li>• 'Increasing inflation' but is the deterioration still from low initial levels of inflation?</li> <li>• UK inflation compared to inflation amongst our trading partners</li> <li>• A worsening, but still mild, inflation as a stimulant to the world of business, to investment, and the impact on the capital account</li> <li>• An inflation scenario which still compares favourably to the prospect of deflation for the balance of payment</li> <li>• The severity of any anti-inflation policies pursued by other governments which may impact on global demand for UK goods and services</li> <li>• The impact on the current account of success or failure in UK authorities' attempts to deal with any national problem of inflation.</li> </ul> <p><i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i></p> |



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| <b>Also give credit for:</b> | <ul style="list-style-type: none"><li>• Reference to the UK/other economies</li><li>• Diagrams</li><li>• An overall judgement on the issues raised.</li></ul> |
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14.

**Relevant issues/logical chains of analysis include:**

- defining the price level, eg the average level of prices of all goods and services in an economy; for defining inflation, eg a general sustained rise in the price level, or the rate of inflation, eg the change in average prices in an economy over a given time period. (A definition of inflation on its own and not linked to price level is not credited)
- linking the definition of price level to the RPI and/or CPI
- explaining the basic principle of indices
- explaining that a price index such as the RPI calculates the average price level for the average household
- explaining the Quantity Theory of Money, eg reference to the Fisher equation from which the theory is developed, explaining the components of the Fisher equation, and developing the idea that the velocity and transactions are held constant leading to the central principle of the theory that inflation is caused solely by increases in the money supply through processes such as QE
- Reference to monetarism/monetarists and the basic argument that inflation is demand-pull in nature and the idea that increases in money supply lead to increases in AD and to increases in the price level
- Reference to the Monetary Transmission Mechanism (the term may not be explicitly used because it does not feature in the specification). For example, reference to the impact of increases in money supply on the rate of interest charged by high street institutions to consumers and businesses, and hence the impact on AD
- Low interest rates lowering the exchange rate, causing import prices to rise, perhaps causing higher costs for firms and hence higher inflation
- Any other valid analysis, eg rising MS and falling interest rates raising expectations about future inflation
- appropriate diagrams, eg a diagram showing the impact of money supply increases on the rate of interest; AD/AS diagrams

[9]

15.

The calculation

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| For the correct answer (1.00 percentage point).<br><br>The 'unit', (per cent or %) <b>must</b> be shown. Do not penalise if 'point' is not stated. | <b>2 marks</b> |
| For the correct answer <b>without</b> a unit shown                                                                                                 | <b>1 mark</b>  |
| Any other answer between 0.9 and 1.1 (inclusive) irrespective of decimal places, <b>with</b> unit shown                                            | <b>1 mark</b>  |

[2]





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|--------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Introduction</b>                                                                  | <ul style="list-style-type: none"> <li>• Saving ratio</li> <li>• Macroeconomic performance.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
| <b>Developing the response to the question:</b><br><br><b>Application / Analysis</b> | <ul style="list-style-type: none"> <li>• Increased consumption benefiting standards of living</li> <li>• Increased short-run economic growth</li> <li>• Positive multiplier arguments</li> <li>• Increased deficits on the balance of payments on current account</li> <li>• Increased problems of personal debt</li> <li>• Demand pull inflationary pressures caused by too much consumption</li> <li>• Over-reliance on credit</li> <li>• Lack of funds in financial institutions for lending and investment</li> <li>• Lack of funds for long-run growth</li> <li>• Effects on confidence</li> <li>• Paradox of thrift arguments (not in specification)</li> <li>• Effects on employment.</li> </ul>                                                                                                                              |
| <b>Evaluation</b>                                                                    | <ul style="list-style-type: none"> <li>• Is the saving ratio important in an economy or is it a by-product of economic conditions?</li> <li>• Has increased economic integration and international finance diminished the importance of the savings ratio?</li> <li>• Savings creating the condition for investment in the long run</li> <li>• Low savings and the effects of future policy changes</li> <li>• Changes in the saving ratio as an effect of having a strong economy rather than the cause of a problem.</li> </ul> <p><i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i></p> |
| <b>Also give credit for</b>                                                          | <ul style="list-style-type: none"> <li>• Reference to the UK/other economies</li> <li>• Diagrams</li> <li>• An overall judgement on the issues raised.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

**For defining/explaining**

- Saving ratio/saving
- Marginal/average propensity to save/consume
- Trade deficit
- Income/disposable income.

**For example:** During periods of economic prosperity, employment is likely to rise which leads to increased disposable incomes as individuals have more income, consumption increases this often causes a rise in house prices which creates the so called wealth effect and increases consumption even further as individuals now have increased equity in their homes this means that individuals can access more finance due to increased security which leads to an increased marginal propensity to consume as individuals become less risk averse and as a result a falling marginal propensity to save and as such the savings ratio falls.

**Other examples could include:** The rate of interest, the demographics of the population, time preference, government legislation or consideration of inflation and the real rates of return of saving.

Use of diagrams to help support explanations, eg AD/AS or the trade cycle.

Reference to the UK and/or other economies.

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|--------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Introduction</b>                                                                  | <ul style="list-style-type: none"> <li>• Unemployment</li> <li>• Macroeconomic objectives</li> <li>• Trade-offs.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
| <b>Developing the response to the question:</b><br><br><b>Application / Analysis</b> | <ul style="list-style-type: none"> <li>• The nature of the cause of unemployment</li> <li>• Short-run trade-offs</li> <li>• Different policies which can be used to reduce unemployment</li> <li>• Some objectives are compatible objectives, eg reduced unemployment and growth</li> <li>• Objectives of different policies, i.e. monetary focusing on inflation targets and more recently, growth</li> <li>• Supply-side policy achieving goals simultaneously in theory</li> <li>• Long-run compatibility of objectives</li> <li>• The UK's experiences in recent times (low inflation with growing employment)</li> <li>• External shocks affecting objectives beyond the control of the economy.</li> </ul>                                                                                                                                                                                                                                                  |
| <b>Evaluation</b>                                                                    | <ul style="list-style-type: none"> <li>• Short-run vs long run considerations</li> <li>• The idea that it may be impossible to avoid conflicts in reality but possible in theory</li> <li>• The acceptability of compromise between objectives – control rather than complete avoidance</li> <li>• The intensity of any problems arising from conflict</li> <li>• Time lags in the effects of supply-side policy working</li> <li>• Limitations of the effects of policy instruments</li> <li>• Targets of governments may change, and focus may shift between governments depending on ideology</li> <li>• Consideration of the term 'inevitable'.</li> </ul> <p><i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i></p> |
| <b>Also give credit for</b>                                                          | <ul style="list-style-type: none"> <li>• Reference to the UK/other economies</li> <li>• Diagrams</li> <li>• An overall judgement on the issues raised.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

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| <b>Introduction</b>                                                                  | <ul style="list-style-type: none"> <li>• Globalisation</li> <li>• UK economy</li> <li>• Stakeholders in the economy, households, firms, government and whole economy.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
| <b>Developing the response to the question:</b><br><br><b>Application / Analysis</b> | <p><b>Arguments that the UK benefits from globalisation</b></p> <ul style="list-style-type: none"> <li>• Comparative advantage arguments – job creation in financial services</li> <li>• Endowment of factors of production – access to goods and services difficult to produce domestically</li> <li>• Increased choice</li> <li>• Lower costs of consumer goods/cost of semi-finished goods and commodities</li> <li>• Benefits from transfer of technology</li> <li>• Welfare gains in terms of trade</li> <li>• Economies of scale arguments</li> <li>• Benefits of international co-operation</li> <li>• Increased FDI.</li> </ul> <p><b>Arguments that the UK loses out due to globalisation</b></p> <ul style="list-style-type: none"> <li>• Outsourcing has led to structural unemployment in regions of the UK</li> <li>• Issues surrounding labour migration</li> <li>• Multinational corporations exploiting tax loopholes</li> <li>• Multinational corporations influence over political decisions</li> <li>• More open to economic shocks elsewhere in the world</li> <li>• Potential for imported inflation</li> <li>• Over-dependence on certain markets/possible strategic markets arguments</li> <li>• Lack of control over markets and goods and services</li> <li>• Environmental issues.</li> </ul> |
| <b>Evaluation</b>                                                                    | <ul style="list-style-type: none"> <li>• Benefits and costs depend on viewpoint, eg a firm lowering costs may do so at the expense of an individual's job</li> <li>• Globalisation as a source of competition creating more resilience in UK firms</li> <li>• Short-term benefits in comparison to longer term, for example short-term prices may fall but over-reliance could lead to long term losses</li> <li>• Loss of manufacturing could lead to long-run over-dependence on certain economies</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |

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|                             | <ul style="list-style-type: none"> <li>Comparative advantage is dynamic – eg although the UK may benefit in terms of specialising in financial services now, this may not be forever.</li> </ul> <p><i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i></p> |
| <b>Also give credit for</b> | <ul style="list-style-type: none"> <li>Reference to the UK/other economies</li> <li>Diagrams</li> <li>An overall judgement on the issues raised.</li> </ul>                                                                                                                                                                                                                                                                                                                                         |

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

22.

**Explanation:**

**For defining/explaining**

- Unemployment
- Voluntary unemployment, eg structural or frictional
- Linking the natural rate to the concept of equilibrium
- Linking to NAIRU (a different concept but closely linked).

**For example:** Due to individuals having trained in specific areas they are made redundant and jobs that are currently available do not match their skill set then they may choose to remain unemployed as the wages that they could gain from taking a different job are significantly lower than what their expectations of a wage are which may further be exacerbated by the tax and benefits system where individuals may fall into the unemployment trap as it would mean that gaining employment may be less financially viable than remaining unemployed as the effects of a loss in benefits such as housing benefit would lead to the individual being worse off than in employment.

**Other examples could include:** Issues such as the tax/benefit system, structural changes in the economy, geographical/occupational immobility or trade union power.

Use of diagrams to help support explanations, eg long-run Phillips curve or supply and demand of labour.

Reference to the UK and/or other economies.

[15]

**Explanation:**

Definition: Interest rates are the returns to saving or the cost of borrowing whereas figures have been adjusted to take into account inflation so the real interest rate is the nominal interest rate minus the inflation rate.

**Analysis:**

**For example:** as interest rates fall as part of a loose monetary policy speculators will decide there is little return from holding money in the currency in question and will move money to where rates of return are better this will lead to a capital flight from that currency to more profitable currencies which increases supply and also a decreasing demand for the original currency and as a result will depreciate the original currency.

Use of appropriate diagrams, eg supply and demand of currency/exchange rates.

Reference to the UK or other economies.

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|---------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Introduction</b>                                                       | <ul style="list-style-type: none"> <li>• Deflation</li> <li>• The EU</li> <li>• Macroeconomic performance indicators.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
| <b>Developing the response to the question:</b><br><br><b>Application</b> | <p>Drawing on information in the extracts:</p> <ul style="list-style-type: none"> <li>• Central banks' ability to respond (<b>Extract E</b>)</li> <li>• Eurozone 'one size fits all' vs UK's and others ability to respond <b>Extract E</b></li> <li>• Delaying spending (<b>Extract F</b>)</li> <li>• Effects on debtors (<b>Extract F</b>)</li> <li>• Effects on tax revenue (<b>Extract F</b>)</li> <li>• Reduced production costs/productivity (<b>Extract F</b>)</li> <li>• Improving competitiveness (<b>Extract F</b>)</li> <li>• Deterring investment (<b>Extract F</b>)</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
| <b>Developing the response to the question:</b><br><br><b>Analysis</b>    | <p><b>Arguments as to how deflation in the EU may benefit the UK economy:</b></p> <ul style="list-style-type: none"> <li>• Effects on competitiveness if UK also experiences deflation</li> <li>• Benign inflation due to improved productivity helping growth and maintaining low prices</li> <li>• Long run, sustainable economic growth achieving deflation</li> <li>• UK's low stable inflation causing stability in comparison to deflation</li> <li>• Deflation in other economies may make UK a relative safe haven for firms from abroad considering FDI</li> </ul> <p><b>Microeconomic effects such as benefits to first time buyers of possible falling house prices.</b></p> <p><b>Consideration of how deflation in the EU may damage the UK economy:</b></p> <ul style="list-style-type: none"> <li>• If EU experiences deflation and UK doesn't then UK may become less competitive in relative terms</li> <li>• EU deflation delaying spending and causing a fall in UK exports</li> <li>• Lack of FDI across the EU due to uncertainty</li> <li>• Damaging tax revenues in the UK which may reduce ability of UK Government to meet targets</li> <li>• Possibility that QE and other policy responses by the ECB and European economies as a result of deflation may give boosts to these economies.</li> <li>• Microeconomic effects such as falling house prices causing negative equity.</li> </ul> |
| <b>Evaluation</b>                                                         | <ul style="list-style-type: none"> <li>• The UK as part of the EU possibly suffering deflation</li> <li>• The duration of deflation having a major impact</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |

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|                             | <ul style="list-style-type: none"> <li>• The cause of deflation being vital to understanding the effects</li> <li>• Benign vs malign arguments</li> <li>• The UK's ability to avoid deflation in comparison to other economies</li> <li>• The relative difficulty of combatting inflation when the causes are external in a globalised economy.</li> </ul> <p><i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i></p> |
| <b>Also give credit for</b> | <ul style="list-style-type: none"> <li>• Reference to the UK/other economies</li> <li>• Relevant diagrams</li> <li>• An overall judgement on the issues raised.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

25.

**For defining/explaining:**

- Economic growth (short-run or long-run)
- Recession
- The trade cycle

**For Example:** An external shock such as the banking crisis which began in 2007 reduced the ability of the financial sector to lend which caused individuals difficulty in gaining credit and therefore causing consumption to fall as consumption is a large component of aggregate demand as AD falls the real national output of the economy falls which could cause a negative multiplier effect and, if real national output falls for 2 successive quarters this is a recession.

Use of diagrams to help support explanations, eg AD/AS or the trade cycle.

Relevant real world examples and/or relevant reference to the UK and/or other economies.

[15]



**26.**

**The calculation**

**$314.05 \times 0.997 = 313.107 = 313.11$  (to 2dp)**

|                                                                                      |                |
|--------------------------------------------------------------------------------------|----------------|
| For the correct answer (313.11). Allow 313.107.                                      | <b>2 marks</b> |
| The 'unit', (index points) does <b>not</b> have to be shown.                         |                |
| Any other answer between 313.01 and 313.21 (inclusive) regardless of decimal places. | <b>1 mark</b>  |

[2]

**30.**

**For defining/explaining:**

- Quantitative easing.
- Inflation.
- Monetary policy (along with the other instruments).

**For Example:** The Bank of England (in agreement with the Treasury) by crediting its own account expanding the bank's balance sheet increasing the money supply It then uses this additional credit to purchase previously issued government assets and/or other corporate assets such as bonds from financial institutions. This increases the amount of liquid assets in the banking system. As financial institutions seek profitable returns they increase lending by either reducing lending rates or increasing the availability of credit which may increase consumption and as consumption is a component of aggregate demand this may push the economy towards its productive capacity causing demand pull inflation.

Use of diagrams to help support explanations, eg increased aggregate demand, marginal efficiency of capital (although this is not in the specification) or diagrams linking the money supply and interest rates.

Relevant real world examples and/or relevant reference to the UK and/or other economies

[15]